



MGT101

Financial Accounting | Basic Concepts and Principles

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What is Financial Accounting?

Financial accounting is the process of preparing financial statements that companies' use to show their financial performance and position to people outside the company, Including investors, creditors, suppliers, and customers.

This is one of the most important distinctions from managerial accounting, which by contrast, involves preparing detailed reports and forecasts for managers inside the company.

Financial Statements

Most companies put together quarterly and annual financial statements, which they make available to shareholders and the investing public. There are four basic financial statements used in the corporate world to show a company's financial performance:

1. The **income statement** (also called the profit and loss statement) covers a specific period of time (such as a quarter or a year).

On an income statement, Revenues - Expenses = Net Income.

In accordance with the Generally Accepted Accounting Principals (GAAP), revenue is always recorded in the period of the sale of the goods and services, which may not be the same period when cash is actually

received.

2. The **balance sheet** is a statement of assets and liabilities at the end of an accounting period. In other words, the balance sheet is a financial snapshot at a specific point in time.
3. On a balance sheet, $\text{Assets} = \text{Liabilities} + \text{Stockholders' Equity}$.

Stockholders' equity is the amount of financing provided by operations (retained earnings not distributed to stockholders) and by stockholders who reinvest through contributed capital.

4. The **cash flow statement** shows the actual flow of cash into and out of a company over a specific period of time, in contrast to the net income on the income statement, which is a non-cash number.

A cash flow statement shows cash flows from operating activities, investing activities, and financing activities.

5. The **statement of retained earnings** covers a specific period of time and shows the dividends paid from earnings to shareholders and the earnings kept by the company.

Notes to financial statements provide additional information about the financial condition of a company. The three types of notes describe accounting rules used to produce the statements, give more detail about an item on the financial statements, and supply more information about an item not on the statements.

Financial Accounting Standards

Financial statements must conform to accounting standards and legal requirements. In the U.S., the [Financial Accounting Standards Board](#) (FASB) establishes financial accounting and reporting standards (generally accepted accounting principles, or GAAP). Publicly traded companies must also comply with the requirements of the Securities and Exchange Commission.

The International Accounting Standards Board (IASB) works to develop internationally accepted financial reporting standards. FASB and IASB standards differ in some areas, and a movement is underway to align the standards to make accounting across borders easier in a world of increasingly global commerce.

Accounting Concepts

1. **Business entity concept:** A business and its owner should be treated separately as far as their financial transactions are concerned.
2. **Money measurement concept:** Only business transactions that can be expressed in terms of money are recorded in accounting, though records of other types of transactions may be kept separately.
3. **Dual aspect concept:** For every credit, a corresponding debit is made. The recording of a transaction is complete only with this dual aspect.
4. **Going concern concept:** In accounting, a business is expected to continue for a fairly long time and carry out its commitments and obligations. This assumes that the business will not be forced to stop functioning and liquidate its assets at “fire-sale” prices.
5. **Cost concept:** The fixed assets of a business are recorded on the basis of their original cost in the first year of accounting. Subsequently, these assets are recorded minus depreciation. No rise or fall in market price is taken into account. The concept applies only to fixed assets.
6. **Accounting year concept:** Each business chooses a specific time period to complete a cycle of the accounting process—for example, monthly, quarterly, or annually—as per a fiscal or a calendar year.
7. **Matching concept:** This principle dictates that for every entry of revenue recorded in a given accounting period, an equal expense entry has to be recorded for correctly calculating profit or loss in a given period.
8. **Realisation concept:** According to this concept, profit is recognised only when it is earned. An advance or fee paid is not considered a profit until the goods or services have been delivered to the buyer.

Accounting Conventions

There are four main conventions in practice in accounting: conservatism; consistency; full disclosure; and materiality.

Conservatism is the convention by which, when two values of a transaction are available, the lower-value transaction is recorded. By this convention, profit should never be overestimated, and there should always be a provision for losses.

Consistency prescribes the use of the same accounting principles from one period of an accounting cycle to the next, so that the same standards are applied to calculate profit and loss.

Materiality means that all material facts should be recorded in accounting. Accountants should record important data and leave out insignificant information.

Full disclosure entails the revelation of all information, both favourable and detrimental to a business enterprise, and which are of material value to creditors and debtors.

Basic Accounting Terms

Here is a quick look at some important accounting terms.

Accounting equation: The accounting equation, the basis for the double-entry system (see below), is written as follows:

$$\text{Assets} = \text{Liabilities} + \text{Stakeholders' equity}$$

This means that all the assets owned by a company have been financed from loans from creditors and from equity from investors. “Assets” here stands for cash, account receivables, inventory, etc., that a company possesses.

Accounting methods: Companies choose between two methods—cash accounting or accrual accounting. Under cash basis accounting, preferred by small businesses, all revenues and expenditures at the time when payments are actually received or sent are recorded. Under accrual basis accounting, income is recorded when earned and expenses are recorded when incurred.

Account receivable: The sum of money owed by your customers after goods or services have been delivered and/or used.

Account payable: The amount of money you owe creditors, suppliers, etc., in return for goods and/or services they have delivered.

Accrual accounting: See “accounting methods.”

Assets (fixed and current): Current assets are assets that will be used within one year.

For example, cash, inventory, and accounts receivable (see above). Fixed assets (non-current) may provide benefits to a company for more than one year—for example, land and machinery.

Balance sheet: A financial report that provides a gist of a company’s assets and liabilities and owner’s equity at a given time.

Capital: A financial asset and its value, such as cash and goods. Working capital is current assets minus current liabilities.

Cash accounting: See “accounting methods.”

Cash flow statement: The cash flow statement of a business shows the balance between the amount of cash earned and the cash expenditure incurred.

Credit and debit: A credit is an accounting entry that either increases a liability or equity account, or decreases an asset or expense account. It is entered on the right in an accounting entry. A debit is an accounting entry that either increases an asset or expense account, or decreases a liability or equity account. It is entered on the left in an accounting entry.

Double-entry bookkeeping: Under double-entry bookkeeping, every transaction is recorded in at least two accounts—as a credit in one account and as a debit in another.

For example, an automobile repair shop that collects Rs. 10,000 in cash from a customer enters this amount in the revenue credit side and also in the cash debit side. If the customer had been given credit, “account receivable” (see above) would have been used instead of “cash.” (Also see “single-entry bookkeeping,” below.)

Financial statement: A financial statement is a document that reveals the financial transactions of a business or a person. The three most important financial statements for businesses are the balance sheet, cash flow statement, and profit and loss statement (all three listed here alphabetically).

General ledger: A complete record of financial transactions over the life of a company.

Journal entry: An entry in the journal that records financial transactions in the chronological order.

Profit and loss statement (income statement): A financial statement that summarises a company's performance by reviewing revenues, costs and expenses during a specific period.

Single-entry bookkeeping: Under the single-entry bookkeeping, mainly used by small or businesses, incomes and expenses are recorded through daily and monthly summaries of cash receipts and disbursements. (Also see “double-entry bookkeeping,” above.)

Types of accounting: Financial accounting reports information about a company's performance to investors and credits. Management accounting provides financial data to managers for business development.

Definition and introduction

Profit, it has been said often, is the sole objective of business. Therefore, for those running a business, information about the financial performance of the enterprise is a most important requirement.

This information is not available easily and can be obtained only by systematically recording, classifying, and summarising all the business transactions. The branch of accounting that accomplishes these tasks under internationally standardised procedures is called financial accounting.

How does financial accounting achieve its tasks?

Financial accounting mainly generates three financial statements to provide the information required—the balance sheet, income statement, and cash flow statement.

As discussed in the post “Accounting basics,” the rules of accounting, including financial accounting, have been standardised to achieve the following goals:

- **Objectivity:** Financial statements should be free from bias, and financial accountants should scrupulously follow the principle of objectivity.
- **Usability:** Users of financial documents should be able to depend on them—the documents should facilitate decision-making.
- **Materiality:** Omission of data from financial statements will mislead financial decision-makers; therefore, all important data should be recorded and misstatement of facts avoided.
- **Comparability:** Financial statements should enable users to compare the performances of companies, and the documents should follow the standards set internationally.

Comparison: Financial vs Management vs Cost Accounting

A final word on financial accounting: it differs from management accounting and cost accounting in that it mainly caters to external stakeholders, such as investors.

Management accounting, however, is intended for a company’s internal use and provides managers with the information necessary for taking steps to improve the performance of their company.

The objective of cost accounting, which is also an internal tool, is to calculate the cost of production and help managers come up with cost-reduction ideas.

Differences Between Financial, Cost & Management Accounting

Basis	Financial Accounting	Cost Accounting	Management Accounting
Objects	Record transactions & determine financial position & profit or loss.	Ascertainment, allocation, accumulation and accounting for cost	To assist the management in decision-making & policy formulation.
Nature	Concerned with historical data.	Concerned with both past and present recorded (historical in nature).	Deals with projection of data for the future (futuristic in nature)
Principle Followed	Governed by GAAP	Certain principles followed for recording costs.	No set principles are followed in it.
Data used	Qualitative aspects are not recorded	Only quantitative aspect is recorded.	Uses both quantitative and qualitative concepts.

What is an Accounting Formula?

The accounting equation or formula is contemplated to be the basis of the double-entry accounting method. The entirety of all the assets or belongings of a firm must be equivalent to the sum of all its records in the B/S. Based on this double-entry method, the accounting formula guarantees that the balance sheet persists 'equalised' and every entry obtained on the debit side must have an identical record (or coverage) on the credit side.

What is the basic Accounting Equation?

The formula for accounting equation is obtained on the basic hypothesis that the equity owners have a claim on the entire assets of a firm post subtracting all the liabilities that is outstanding by the firm. This is depicted by the equation: Shareholders' Equity = Assets – Liabilities.

Important Accounting Formulas

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

$$\frac{\text{Current Assets}}{\text{Current Liabilities}} = \text{Current Ratio}$$

$$\text{Income} - \text{Expenses} = \text{Net Income}$$

$$\text{Beginning inventory value} + \text{Purchases of inventory} - \text{Ending inventory value} = \text{Cost of goods sold}$$

$$\text{Sales} - \text{Cost of goods sold} = \text{Gross profit}$$

$$\frac{\text{Gross Profit}}{\text{Sales}} = \text{Gross Profit Margin}$$

$$\frac{\text{Fixed costs}}{\text{Sales price per unit} - \text{Variable cost per unit}} = \text{Break Even Point}$$

$$\text{Sales price per unit} \times \text{Break - even point in units} = \text{Breakeven point in Rupees}$$

$$\text{Inventory turnover ratio} = \frac{\text{Cost of Goods Sold}}{\text{Inventory}}$$

$$\text{Accounts Receivable Turnover Ratio} = \frac{\text{Sales on credit}}{\text{Accounts Receivable}}$$

$$\text{Total Asset Turnover} = \frac{\text{Sales}}{\text{Total Assets}}$$

$$\text{Debt to Equity Ratio} = \text{Debt-equity ratio} = \frac{\text{Total Liabilities}}{\text{Shareholder's Equity}}$$

$$\text{Quick ratio} = \frac{\text{Current Assets} - \text{Inventory}}{\text{Current Liabilities}}$$

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

$$\text{Return on Assets} = \frac{\text{Net Income}}{\text{Average Total Assets}}$$

$$\text{Return on Equity} = \frac{\text{Net Income}}{\text{Average Shareholder's Equity}}$$

$$\text{Beginning balance} + \text{net income} - \text{net losses} - \text{dividends} = \text{ending balance}$$